

Sales Forecasting & Pipeline Management Policy

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APPROVED — ACTIVE

1. Purpose & Scope

This policy defines the standards for AI-assisted revenue forecasting, opportunity management, and pipeline reporting across the TechCorp Sales Department. It ensures that AI-driven forecasts are transparent, based on verifiable pipeline data, and subject to human validation — never presented as commitments without sales leadership review and approval.

This policy applies to all Sales Department personnel who manage opportunities and contribute to forecasts, Sales Operations for forecast process administration, and **Finance** for revenue forecast consumption and financial planning alignment. It operates alongside the **Sales AI Governance Policy (SAL-AI-001)** and the **Forecasting & Budget Intelligence Policy (FIN-FP-001)**.

2. AI Platform Integration

The Sales Department uses the Enterprise AI Platform's forecasting and pipeline analytics suite, fed by CRM opportunity data and enriched with historical win/loss patterns. Core integrations include:

- **AI Revenue Forecasting Engine** — Predictive modeling of quarterly revenue based on weighted pipeline, historical close rates by segment and deal size, deal age and velocity, and rep historical accuracy, producing a forecast range with confidence intervals for sales leadership review.
- **Pipeline Health Analyzer** — AI-driven pipeline diagnostics assessing coverage ratios, stage distribution, aging deals, and deal concentration risk, generating weekly health scores per team and region with flagged risks for manager attention.
- **Deal Risk & Opportunity Scoring** — AI scoring of individual opportunities based on engagement signals, stakeholder coverage, competitive presence, and historical patterns of similar deals, surfacing at-risk deals and upsell opportunities for account executive action.

- **Forecast Accuracy Tracker** — AI compares submitted forecasts against actual results per rep, team, and region, identifying systematic over- or under-forecasting patterns and providing coaching insights for sales managers.

Connected Departments: Finance (revenue forecast consumption & financial planning) • Marketing (pipeline generation contribution & campaign influence) • Operations (capacity planning & delivery alignment) • IT (CRM & forecasting platform infrastructure) • AI (forecast model accuracy & bias monitoring)

3. Permitted AI-Assisted Forecasting Activities

Activity	AI Role	Human Oversight Required
Revenue forecasting	Weighted pipeline projection & confidence interval calculation	Sales manager reviews and adjusts per deal insight; CRO approves final forecast
Pipeline health diagnostics	Coverage & distribution analysis	Sales manager reviews health scores weekly; addresses flagged gaps
Deal risk identification	Risk factor detection & scoring	Account executive reviews risk flags; updates deal strategy accordingly
Forecast accuracy analysis	Variance calculation & pattern detection	Sales manager reviews with each rep; coaching actions documented
Opportunity stage progression monitoring	Stage velocity analysis & stuck-deal flagging	Account executive updates stalled deals; manager reviews weekly
Commit vs. upsight categorization	Deal confidence classification	Account executive confirms classification; manager validates commit deals

4. Prohibited Activities

The following are strictly prohibited under this policy:

- **Submitting AI-generated forecasts as commitments without sales leadership review.** Every forecast submitted to Finance and the board must reflect human-reviewed pipeline data and sales leadership judgment. The AI forecast is an input, not the final submission.

- **Inflating pipeline values or manipulating opportunity data to influence AI forecasts.** Pipeline integrity is fundamental. Falsifying deal values, close dates, or stage progression to improve forecast appearance or quota attainment is a violation subject to immediate disciplinary review.
- **Suppressing at-risk deals from forecasts or pipeline reports.** AI-flagged risks must be addressed, not hidden. Removing deals from the forecast to improve reported numbers without a valid business reason (e.g., deal genuinely lost) is prohibited.
- **Bypassing the CRM for opportunity tracking.** All opportunities must be tracked in the CRM with complete stage, value, and close-date information. Shadow pipelines or offline opportunity tracking that circumvent AI forecasting and reporting are prohibited.
- **Using AI forecast data to make unilateral resource commitments.** AI revenue projections do not authorize additional hiring, spending, or delivery commitments. Resource decisions based on forecasts must follow the established approval chain through Finance and Operations.

5. Pipeline Data & Forecast Methodology

All forecasting activities must comply with TechCorp's **AI Safety Guidelines** (AI Department) and the **CRM Data Quality & Customer Records Policy (SAL-DATA-001)**. Methodology requirements include:

- Forecasts are generated weekly using a rolling 12-week weighted pipeline methodology; AI weighting is based on historical close rates segmented by deal size, stage, product line, and rep tenure, with weights reviewed quarterly.
- Every forecast must include: the AI-generated baseline, manager adjustments with documented rationale for adjustments exceeding 10%, a confidence interval, and the final human-approved forecast number.
- Pipeline coverage requirements are defined per segment: enterprise requires 4x coverage, mid-market 3x, and SMB 2.5x of quarterly target; AI flags teams falling below coverage thresholds for manager intervention.
- Deal categorization follows the commit/upside/pipeline framework: commit deals have a confirmed decision timeline, identified budget, and executive sponsorship; AI recommends categorization but the account executive and manager make the final call.
- All forecast versions — AI baseline, manager-adjusted, and final submitted — are preserved in the forecasting module with full audit trail for accuracy analysis and process improvement.

6. Forecasting Quality Standards

Sales personnel must adhere to TechCorp's **Prompt Engineering Standards** when using AI forecasting tools. Forecasting-specific requirements include:

- Forecast generation prompts must specify the quarter, segment filter, and any known one-time events (large deals closing, product launches) that the AI's historical model may not account for.
- Deal risk detection prompts must be calibrated per segment and deal stage; a one-size-fits-all risk model generates excessive false positives in enterprise deals and misses risks in high-velocity segments.
- Pipeline health prompts must include the coverage ratio targets per segment and the current period position in the quarter for contextual analysis.
- All forecasting prompt templates must be version-controlled, approved by Sales Operations, and stored in the department's shared prompt library.
- Forecast accuracy is measured weekly; systematic deviation exceeding 15% for any team over two consecutive quarters triggers a forecast process review and potential model recalibration with the AI Department.

7. Roles & Responsibilities

Role	Responsibility
Chief Revenue Officer (CRO)	Final forecast approval and submission to CFO and board; accountability for forecast accuracy; pipeline coverage oversight; escalation point for forecast disputes.
Sales Operations Lead	Forecast process administration; AI forecast model configuration; forecast accuracy tracking and reporting; prompt template governance; weekly forecast cadence management.
Sales Managers	Team forecast review and adjustment; deal-level validation for commit-category deals; pipeline health action on AI-flagged gaps; rep forecast accuracy coaching.
Account Executives	Opportunity data accuracy and timeliness; deal categorization per commit/upside/pipeline framework; risk flag response and deal strategy updates; weekly forecast roll-up contribution.
Finance Department	Forecast consumption for financial planning; revenue recognition alignment; forecast-vs-actual variance analysis; feedback loop to Sales Operations on forecast quality.
Marketing Department	Pipeline generation contribution data; campaign influence on pipeline; top-of-funnel metrics for coverage analysis; lead-to-opportunity conversion data.
Operations Department	Delivery capacity alignment with forecast; resource planning based on approved forecasts; ensuring commitments made in forecast are deliverable.
IT Department	CRM and forecasting platform infrastructure; data pipeline integrity from CRM to forecasting engine; access provisioning for forecasting tools.
AI Department	Forecast model accuracy monitoring; deal risk model calibration; pipeline health analysis quality; forecasting AI prompt standards.

8. Incident Response

Any of the following constitutes a forecasting or pipeline incident and must be reported within the timeframe specified:

- AI forecast model producing materially inaccurate projections (greater than 25% deviation from actuals at quarter-end) — Sales Operations and AI

Department notified; model reviewed and recalibrated before next forecast cycle.

- Pipeline data integrity breach — mass data corruption, unauthorized bulk edits, or sync failure affecting opportunity data — report within 1 hour to Sales Operations and IT; data restored from backup; affected forecast cycle re-run.
- Systematic misclassification of deals (commit vs. upside vs. pipeline) by AI — Sales Operations notified within 24 hours; classification model reviewed; affected deals manually reclassified during the review period.
- Unauthorized access to forecast data before official release — report within 1 hour to Security and Sales Operations; access audit conducted; forecast data exposure assessed for market sensitivity by Legal and Finance.
- Forecast submission deadline missed due to platform issue — Sales Operations and IT notified; manual forecast collection process activated; platform restored; root cause addressed before next cycle.

All forecasting incidents are logged in the platform's incident management module. Incidents involving premature external disclosure of forecast data require immediate Legal assessment. Post-incident review involving Sales Operations, IT, and affected departments is mandatory within 10 business days.

9. Training & Compliance

- All account executives must complete the AI-Assisted Forecasting & Pipeline Management workshop within 30 days of onboarding and refresh quarterly with forecast cadence.
- Sales managers must complete the Forecast Review & Pipeline Coaching certification covering AI forecast interpretation, adjustment documentation, and rep accuracy coaching techniques.
- Sales Operations personnel must complete the Forecast Model Administration training covering model configuration, accuracy tracking, and prompt template management.
- Weekly forecast cadence is mandatory for all sales teams; AI pre-populates the forecast roll-up; managers review, adjust, and submit; Sales Operations consolidates for CRO review.
- Non-compliance with this policy, including pipeline manipulation or forecast gaming, is subject to immediate forecasting tool access revocation and the progressive discipline framework administered by HR, up to and including termination.

10. Review & Revision

This policy is reviewed every 6 months by the CRO, Sales Operations Lead, and designated sales managers, with input from the Finance Department (for forecast consumption and financial planning alignment), Marketing Department (for pipeline generation data and campaign influence), Operations Department (for delivery capacity alignment), IT Department (for platform infrastructure and data integrity), and AI Department (for forecast model performance and accuracy). Revisions are versioned, approved by the CRO, and synchronized with updates to the Sales AI Governance Policy, the CRM Data Quality & Customer Records Policy, the Forecasting & Budget Intelligence Policy, and the TechCorp AI Safety Guidelines. The review cycle is timed to complete before the annual planning cycle to ensure forecast methodology is current for the upcoming fiscal year.

Referenced Policies: Sales AI Governance Policy (SAL-AI-001) • CRM Data Quality & Customer Records Policy (SAL-DATA-001) • Lead Intelligence & Qualification Policy (SAL-LIQ-001) • Forecasting & Budget Intelligence Policy (FIN-FP-001) • AI Safety Guidelines (AI Department) • Prompt Engineering Standards (AI Department) • Data Protection Standards (Security Department)